



Considering your options

Whatever the cause of the change in the business climate, first address its effect on your business, and then identify any opportunities that it could create. Talk to staff or colleagues, collectively assess your resources, then brainstorm and research ideas to find a solution that is cost-efficient, timely, and meets clearly defined market needs. The solution may require adjustments to your product (adapting), taking a new direction (pivoting), or adding new products (diversifying). Aim to build on what you have already learned rather than starting over from scratch.



CASE STUDY

Stagekings

In the face of the 2020 coronavirus pandemic, specialist designers of theater and movie sets, Stagekings, found themselves idle as the Australian entertainment industry closed down. The company responded to the unexpected circumstances by pivoting. They thought about the needs of the millions of office staff now working from home, and deployed their skills to create a range of work-from-home desks.



NEED TO KNOW

- **Black swan events** are unexpected changes that could not have been predicted.
- **Horizontal diversification** involves replicating your product, such as by opening more stores.
- **Vertical diversification** involves taking ownership of a part of your supply chain.



DIVERSIFY

To increase profits in the face of strong competition, Rowena cooks and packs her delicious sauces, dried herbs, and flavored oils. She uses social media to publicize the new range.

ROWENA'S
RESTAURANT

**"All failure
is failure to
adapt."**

*The Art of Winning in
an Age of Uncertainty,*
Max McKeown, 2012